

Do not
write
anything
in this
margin

VISIONIAS

Registration No.

46104254

Classroom Assignment Sheet

Assignment Code

161044

Name: JAYANT KUMAWAT

Subject: M.H. Batch: RB33 Submission Date: 23/7/26

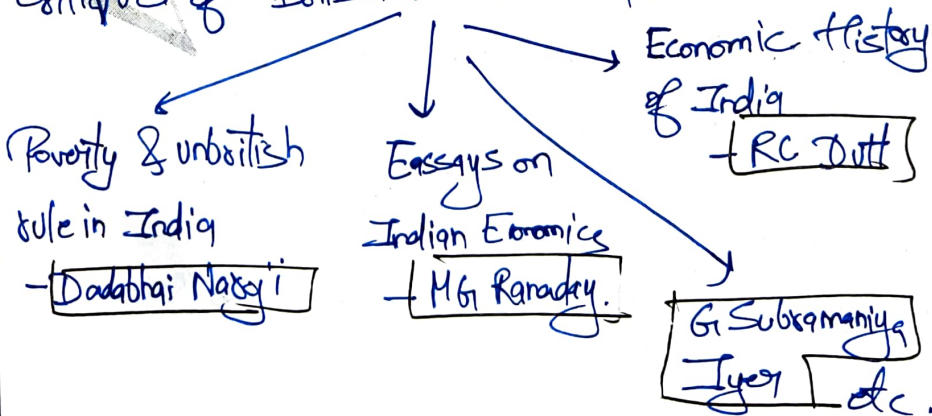
Total
Marks

Question - Critically examine Dadabhai Naoroji's Drain of wealth Theory, highlighting its components & its significance in mobilizing support for the early Indian National movement.

The Drain of wealth theory transformed the Indian National movement from an emotional protest into an evidence based on economic critique of colonialism.

By demonstrating that poverty in India was not merely because of internal stagnation but also due to systematic transfer of resources abroad, Dadabhai Naoroji gave Indian National movement its first coherent ideology.

By the late 19th century, economic nationalism took roots in India which led to a comprehensive critique of British rule in India.



Do not
write
anything
in this
margin

Do not
write
anything
in this
margin

Do not
write
anything
in this
margin

Components of Drain of Wealth

① Home charges - These were expenditure incurred in England on behalf of India by the office of Secretary of state.



Pensions

Drain of wealth in form of Payments (A)

- Pensions and furloughs (kind of paid leaves) by British officials.
- Remittances to Britain by European employees in India
- Indian office expenses in England.

② Interest on Public Debt - The East India Company had acquired huge debt globally, mainly to remove Indian rulers from their territories.

③ Purchased stores in England - The Secretary of state and govt. of India had purchased stores in England for departments such as civil, military & marine. This comprised roughly 10-12% of home charges.

④ Council Bills - Use by EIC officials like "cheques" to use Indian Money for own & local needs.

For Official
use only -
Evaluation
Feedback:
Please put
tick marks in
this table

	Context	Content	Structure - presentation	Language	Word limit	Overall performance
Excellent						
Good						
Average						

Do not
write
anything
in this
margin

Registration No.

--	--	--	--	--	--	--	--	--	--

VISIONIAS

Classroom Assignment Sheet

Assignment Code

--	--	--	--	--	--

Name:

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

Subject: Batch: Submission Date:.....

Total
Marks

--

Do not
write
anything
in this
margin

Question -

[2] Military Expenditure - EIC provided military assistance to Indian princes. Most of the funds allocated for this were filling the pockets of British citizens.

[3] Payments on Insurance, Banking and Shipping - India made huge payments for these services. Moreover, it also affected Indian enterprises.

[4] Revenue outflow - The excess of exports over imports reaped no material or economic benefit to India as the exports were raw materials at cheap prices and imports were expensive & inflated machine-made goods from Britain. It created a huge trade imbalance for India.

[5] Managing Agency System - The emergence of managing agency system led the managing agencies to become a cornerstone of Indo-British economic relations.

The managing agencies such as Carr, Tagore & Company (Indigo and opium trade), Andrew and Yule (Jute mills & plantations) looked into the

Do not
write
anything
in this
margin

Do not
write
anything
in this
margin

daily operations of industries in India on behalf of European Capitalists. This led to a huge capital inflow in India, but with a vested interest and a heavy security of investment which anyways became a good business model for extracting India's wealth.

Significance in mobilizing support for early Indian National movement

- ① The poverty in India was backed by the evidence of drain of wealth theory, which led to further introspection among masses.
- ② It appealed to the masses that they are taxed to ensure the better life for citizens of Britain.
- ③ Evidences given by R.C Dutt - "The richest (42%) nation in the world was taxing the nation of (42%) peasants with just £2 per capita income was bleeding India endlessly".

Thus, the Drain of wealth theory transformed the Indian National movement from petitions seeking administrative reforms to a broader realization that progress of a nation is IMPOSSIBLE without political autonomy. In this sense, it sowed the intellectual seeds of "SWARAJ".

For Official
use only -
Evaluation
Feedback:
Please put
tick marks in
this table

	Context	Content	Structure - presentation	Language	Word limit	Overall performance
Excellent						
Good						
Average						